

Compani On - Business Plan

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Cap 1. Description of the business plan

CompaniOn is a mobile application aimed at reducing loneliness in older adults and providing peace of mind for their families. It has a 3D avatar powered by AI that keeps the user company and also provides cognitive assistance by helping them with conversations, reminders, and emergency alerts. The application supports multiple languages, which makes it usable across the world and aims for the aging population who live alone. By incorporating emotional support, health monitoring, and emergency response within one system, CompaniOn offers an end-to-end solution to a serious global issue.

Family members can check the health of their loved ones, locate them, and get instant notifications in case of an emergency. They also have the option of creating additional reminders for their older loved ones.

Our business model operates on a subscription base where you have 3 types of subscription: Free, Basic and Pro. The free model is sustained through ads that will be integrated inside of the application and shown to the users and family members in a non-bothering way. The Basic and Pro model will have a monthly fee to them, but they will be without ads and with bonus features that will otherwise be locked for the free users.

It is worth noting that we will have extra bundles for healthcare institutions, whereas for a fix monthly fee a healthcare institution can purchase either the basic package or the pro package for their customers. This can be seen as a winning scenario for everyone as it benefits the institution to have an all in one monitoring platform, it benefits the individual as it can get a package that otherwise they themselves or their family members would have to pay for and it benefits us as a partnership with an healthcare institution means more users and a steadier stream of income.

An additional stream of income will be In-app purchases. In-app purchases also enable users to personalize their avatars with the addition of skins, animations, and backgrounds, enhancing interaction while generating revenue, making our product even more stand out in the global elderly care market.

The elderly care market in general is supposed to grow by 120% by the end of 2050, which means it will reach a market value of about 2.1 billion US dollars. Corresponding to that fact, the market for senior care technology is supposed to grow by the end of 2027 to an amount of 13.5 billion US Dollars. Those 2 factors combined with a steady growing elderly population makes CompaniOn an ideal opportunity to tap into an expanding but not yet fully saturated market. It is also important to note that CompaniOn will integrate AI features, so we also belong to the AI market. It's important to note that the AI market is currently projected to rise.

If we look at apps that are in the same domain, we will soon see that there is no direct competition. Most apps focus only either on the health aspects, so we can say that they are our indirect competition because they lack the social well-being part all together. The other kind of apps are our direct competitors because they include our main component and that is the social aspect provided by the talking AI 3D model, but it should be noted that again, they don't offer advanced elderly care solutions like CompaniOn does. Based on all of the above, companion integrates exciting functionalities together in a way that has never been done before by any of the competition.

Based on the fact that we offer a subscription model for our application, we have the chance to operate at minimal costs considering both our workspace and our expenses as a company.

CompaniOn is expected to have a strong financial trajectory, with gross margins improving significantly over three years— Year I (which will be viewed as the initial investment year) will have a gross margin of 45.2% to Year II which is projected to have a 46% gross margin, and 67.5% in Year III. This growth reflects the project's ability to scale efficiently, as revenue increases while cost of goods sold (COGS) remains relatively stable. By optimizing operational expenses, a strong potential user base and by tapping into a great and mostly untouched market with minimal competitors, CompaniOn is positioned to achieve strong profitability.

A detailed description of why CompaniOn can be viewed as a success story is listed down below. All of the segments discussed here can be seen in more detail in our business plan. Each segment of the CompaniOn business plan is easy to understand and to follow so that the reader has always a concept idea of what we were trying to achieve.

Cap 2. Description of the business idea

2.1. Description of the idea

CompaniOn is a mobile app designed to assist elderly individuals who experience loneliness, while also providing peace of mind to their family members. The app's main feature is a 3D avatar that serves as both a friend and caregiver. Elderly users can interact with the avatar, which uses artificial intelligence to analyse messages and generate appropriate responses. Family members can monitor their loved one's health status, access the history of previous locations, and set reminders for therapies. In the event of an emergency family members of an older user will receive instant notifications.

Unlike other apps with 3D avatars that offer human-like conversation, *CompaniOn's* avatar provides both emotional and cognitive support. This is especially important, as many elderly individuals face loneliness and memory challenges. Statistics show that over 50 million people worldwide are affected by dementia. Another segment where *CompaniOn* stands out is that it combines the features for reminders, emergency notifications and virtual companionship into one unified entity, so that it can offer an all-in-one solution for a global problem that faces many families worldwide.

Another feature that will be available for premium tier users (family members) is that after paying a monthly fee they can access real-time location viewing of their loved ones. In that way, they can be always assured with the knowledge where their loved ones are. That is very important especially with users that have older family members with dementia, and according to a study published in 2022, nearly 10% of U.S. adults aged 65 and older have dementia.

Today, many young and middle-aged individuals are often too busy to visit and care for their elderly family members as much as they would like. As a result, elderly individuals often experience loneliness and struggle with daily activities, especially if they have health issues. *CompaniOn* ensures that elderly users never feel lonely again, while their family members stay fully informed, as if they were spending time together each day.

The app can also be easily adapted to multiple languages, making it accessible across regions. With the widespread use of mobile phones, there is a large potential customer base. According to the Washington Post, only in the US there are currently more than 16 million Americans living alone while growing old. Some of their biggest needs are the need for companionship, and the need for urgent health-care service notification. Both of those needs are covered with the CompaniOn app.

There will also be an in-app purchase mechanism that will allow older users to customize their 3D avatar with unique skins, animations and backgrounds. That will serve as an additional source of income. Users will be inclined to purchase those skins, animations and backgrounds because it will help them to create a unique experience tailored to their needs.

2.2. Description of shareholders

Considering that the whole concept, design and idea for the application was made by a group of three people, there are a total of three shareholders.

The shareholders are considered of:

- Elma Čomor
- Adil Eminagić
- Berun Agić

If we consider that each of the current three shareholders did an equal effort in designing, implementing and coming up with the concept of CompaniOn, each of the three shareholders has an equal percentage of their shares which are represented with a number of 33.33% each.

Taking into account the information above we now have statistics of the shareholders as follows:

- Elma Čomor -> shareholder with 33.33%
- Adil Eminagić -> shareholder with 33.33%
- Berun Agić -> shareholder with 33.33%

With the current division of share, CompaniOn app does not have a majority shareholder.

All three of the shareholders hold expertise in different and unique fields which combined together create the perfect product in the form of CompaniOn.

Elma is an expert in frontend design implementation with a strong focus on creating the optimal user experience. Following her guidance and designs into programming

code, she sets an example in creativity, ingenuity and smart design ideas that make the whole application communicate their purpose clearly and efficiently to the user.

Adil has a special place in his heart with backend services and database architecture implementation. Adil knots Elmas UI frontend designs with the necessary services to create an immersive and smooth experience for the user, so that all the “under the hood” work can be processed in an optimal manner.

Berun is one of the pioneers in the field of Artificial Intelligence. He has a strong focus on AI implementation with user centered mobile application software, in other words, Berun gives the 3D model the necessary “brains” to interact with the user so that in the end the user can feel like he is talking to a real human being that wants to be his friend and helper.

2.3. The location and facilities offered by it

Our business model is based on a digital platform which allows us not to be related to any physical location. This model is flexible and efficient regarding the team, as well as the customers can be from all parts of the world. This flexibility allows us to develop and manage the business without additional costs for renting or maintaining office space.

Modern remote work and project management tools enable effective team communication and collaboration without the need for centralized offices. With minimal operational requirements we are creating value through innovative application and creating a recognizable brand. This further allows us to focus on improvements and product development as well as the marketing and improvement of the user experience. Our digital nature of business gives us the ability to adapt to different markets and easily expand our business wherever needed.

Cap 3. Description of services

3.1. Descriptions of services

The services that CompaniOn offers the user differ based on the type of user that is using the platform. The two types of users that CompaniOn has are:

Basic User – Designed specifically for elderly individuals, people experiencing loneliness, or those showing early signs of dementia. This account offers features that help maintain cognitive engagement and emotional connection, potentially reducing the negative effects of social isolation. Given the increasing global concern about dementia and the mental health of older adults, studies suggest that technology can play a crucial role in enhancing the quality of life for elderly individuals, particularly in terms of maintaining social bonds and offering mental stimulation.

Family User – Tailored for family members who wish to alleviate the effects of loneliness for their loved ones, especially when they are away. This account provides tools to stay connected with family members who may be isolated or struggling with health issues. Additionally, it includes features to monitor the well-being and condition of elderly relatives or those with health concerns. This account could also include reminders for medication, appointments, or daily activities, supporting family members in overseeing their loved ones' care even from a distance. Given the increasing number of families with geographically distant members, this type of solution is growing in importance.

After installation, a family member sets up an account for themselves where after they can create an additional account for their older family member.

The application is made up of seven main services that work together to create the ideal virtual companion and AI assistant for elderly users.

The services are:

1. **AI Assistant** – The main service of the application is a personalized AI friend in the form of a 3D avatar. During the sign-up process, users provide information that allows the AI assistant to engage in personalized, friendly conversations. This ensures that users always have someone to speak to, share their thoughts, or express their concerns effectively gaining a companion who is always there for them. The AI assistant will primarily use voice interactions, as voice commands are generally easier for elderly people to use, understand, and connect with compared to text or chat-based inputs. Additionally, based

on the information provided earlier, the assistant will ask questions related to the user's past, helping maintain an ongoing overview of important events. This is particularly beneficial for users showing early signs of dementia, as conversations about the past can function as memory exercises. One such recommended exercise for individuals with dementia involves repetitively answering questions like: "What is your name?" "When were you born?" "Where were you born?" and "How many immediate family members do you have?" These interactions stimulate cognitive function and help maintain memory, potentially slowing the progression of memory loss.

2. **SOS Button** – the service of giving off emergency signals for help. During the call, the location, the health information and the personal information of the user will be forwarded to the authorities so that the response can be as quick as possible.
3. **Reminders** – reminders that will have voice features for important schedules like the planning of medicine consumption, and other appointments. Not only that the user will get a visual reminder, but he will also have a personalized voice reminder that will tell them, for example, exactly what medicine the user must take and how much. The same works for any other kind of appointment like for example a doctor's appointment, or an important meeting etc.
4. **Family accounts** – The family members have an option to look at the reminders for the medicine and for the appointments that the user has so that they can see if they are taking their therapy and keeping their appointments. The family members' accounts are linked together with the user accounts.
5. **Dangerous interaction warning** – If the user says something alarming to their 3D AI assistant like for example shares thoughts about self-harm, depression or accidents, not only will the assistant try to defuse the situation, but he will also send the alarming texts as a notification to their family members so that they are in touch with the situation and so that they now what their elder family member is dealing with emotionally and physically.
6. **Location & location history tracking** – Because older people, and especially older people with signs of dementia have a tendency to wander off without telling anybody CompaniOn offers an interactive location tracking feature. With that the basic user can always see on the map exactly where they are, and their family members can in real time see their location too. Also, for the family accounts, they have an option to see the history of locations so that they know where their loved ones went in the past couple of days.
7. **Customizable options** – Users will also have the option to customize their virtual AI friend through in house purchases of different outfits and styles. They will also have an option to customize the environment of their 3D virtual friend.

3.2. Analyze FAB (Features-Advantages-Benefits)

Features	Advantages	Benefits
Virtual Friend	Engages users in personalized conversations while acting like a friend, primarily through voice interaction. Can ask memory-stimulating questions to help individuals with early dementia.	Reduces loneliness, enhances cognitive engagement, and provides companionship for elderly users. Supports memory retention for dementia patients.
SOS Button	Send emergency signals, including location and health details, to family members.	Ensures quick response in emergencies, potentially saving lives by providing crucial data instantly when pressed.
Reminder	Provides visual and voice reminders for medication intake and appointments.	Helps elderly users stay on track with their health routines, reducing the risk of missing critical medication or appointments.
Family Accounts	Allows family members to monitor reminders and track appointments of their loved ones.	Gives peace of mind to families by ensuring their elderly relatives adhere to their schedules. Helps in connecting family that are far away together.
Notification Warning System	Detects alarming conversations (e.g., self-harm, depression etc.) and notifies family members. Also sudden location changes, and SOS signals will be displayed as notifications.	Helps family members to keep up to date with their older loved ones. Instant knowledge of all the important things that they need to focus on.
Location System	Real-time location tracking with a history log accessible by family members.	Prevents wandering-related risks for elderly individuals, especially those with dementia, while allowing families to ensure their safety.
Customizable Options	Personalization of AI companion's appearance and environment	Enhances user engagement and emotional connection by creating a more relatable and enjoyable virtual companion.

3.3. Establishing the production cost. COGS

Establishing the Production Cost

The following table provides a breakdown of CompaniOn's estimated production costs in a year with a team of 10 working on the project and 28,500 customers (which is less than 0,0001% of elderly people living only in the US). There are also aspects like AI models, Cloude Service, workers' wages etc.:

Cost of Goods Sold	Year (\$)
Servers & Cloud Services	35,000
Software Developers' Wages	200,000
QA Testers' Wages	100,000
AI Model Costs	10,000
Third-Party Services	5,000
Mobile/Platform Store Fees	124
Security Services	2,000
Marketing Costs	50,000
Total COG	402,124

Subscription Costs and Revenue Model

CompaniOn will operate on a subscription-based revenue model with the following tiers:

Subscription	Free	Start (\$)	Pro (\$)	Enterprise (\$)	Total
Monthly Fee	\$0	\$9.99	\$19.99	Custom Pricing	
Video Calls	Limited	30	Unlimited	Unlimited	
Health Monitoring	No	Yes	Yes	Yes	
Emergency Alerts	Yes	Yes	Yes	Yes	
AI Companion Customization	No	Yes	Yes	Yes	
Ads	Yes	No	No	No	
Number of Users	20,000	5,000	3,000	500	28,500
Revenue per Year	120,000\$	599,400\$	719,640\$	594,000\$	2,033,040\$
Total COGS					402,124\$
Total Profit					1,630,916\$
GM %					80%

3.4. Future product strategy

a) Advanced Emotional Interaction

To ensure a truly lifelike experience, CompaniOn will incorporate state-of-the-art emotional AI. The 3D avatar will not only respond with appropriate verbal replies but will also express emotions through facial expressions, tone of voice, and body language, making interactions feel as natural and engaging as possible.

Furthermore, users will have the ability to customize their virtual companion to match their personal preferences. They can choose different voices, personalities, and even conversational styles, allowing for a deeply personalized connection. Whether an elderly user prefers a warm, gentle companion or a lively and energetic one, CompaniOn will adapt accordingly, making every interaction enjoyable and comforting.

b) Health Monitoring and Device Integration

By integrating with smartwatches, health-monitoring sensors, and other wearable devices, CompaniOn will help track vital health parameters such as heart rate, blood pressure, and sleep patterns. This will allow for early detection of any health issues and prompt users or caregivers to take necessary actions before emergencies arise. A comprehensive medication reminder system will also be included, ensuring that users never miss important doses. Family members will be notified if medication is skipped, giving them peace of mind that their loved ones are following their prescribed treatments.

c) Personalized Recommendations

Using AI-driven insights, CompaniOn will provide tailored recommendations for physical and mental well-being. It will suggest exercises suited to the user's mobility level, meditation techniques for relaxation, and memory-boosting activities. The app will also offer enjoyable games—both solo and multiplayer—that enhance cognitive function and elevate mood.

Additionally, users will receive personalized lifestyle tips and motivational messages to encourage a positive mindset and maintain an active, healthy routine.

d) Social Connectivity

CompaniOn will go beyond one-on-one interactions by introducing virtual group chats and video calls. Elderly users can participate in scheduled discussions with peers, engage in storytelling sessions, or simply catch up with family members. This social

aspect will help prevent isolation and create a sense of belonging within the community.

Moreover, the app will feature a “digital companion” that facilitates group games, quizzes, and social activities. This not only reduces loneliness but also fosters stronger connections with others, promoting emotional well-being.

e) Mood and Activity Tracker

Understanding emotional patterns over time is key to providing proper support. CompaniOn will include a mood and activity tracker that logs emotional states and behavioral patterns. Over time, it will generate insights that help family members and caregivers understand the user’s overall well-being, allowing them to detect changes that may indicate underlying issues such as depression or anxiety.

The app will also suggest activities or interventions based on the user’s emotional state, encouraging positive engagement and mental health awareness.

f) Emergency System

CompaniOn will take safety to the next level with an advanced fall detection system. If an elderly user experiences a sudden fall, the app will immediately notify emergency contacts or healthcare services. This automatic alert system ensures that timely assistance is provided, reducing risks associated with falls major concern for aging individuals.

The existing SOS button will also be improved with voice activation and easy accessibility, ensuring that help is always within reach in case of distress.

g) Rewards for Engagement

To encourage consistent use of the app, a reward system will be implemented. Users will earn points for interacting with the avatar, completing wellness activities, and engaging in social interactions. These points can be redeemed for virtual avatar customizations, in-app privileges, or even discounts on premium services.

Personalized challenges and goals will also be introduced, motivating users to develop healthy habits while making the experience enjoyable and fulfilling.

h) Support for Caregivers and Family Members

CompaniOn understands that family members play a crucial role in elderly care. To facilitate seamless communication, the app will allow caregivers to send text and

video messages directly to elderly users. Family members will also have access to real-time updates on their loved ones' health, activity, and emotional well-being. By integrating monitoring features, CompaniOn ensures that family members remain informed, reducing worry while providing elderly users with a sense of connectedness and reassurance.

i) Accessibility and User-Friendly Design

Inclusivity is at the heart of CompaniOn. The app will offer multiple accessibility features, including adjustable text sizes, high-contrast modes for visually impaired users, and voice command functionality for those with mobility challenges.

A hands-free mode will be developed, allowing elderly users to navigate the app using voice recognition, making interactions smoother and more effortless. This ensures that users of all abilities can benefit from the app without technological barriers.

j) Integration with Local Communities and Services

Beyond individual and family-based support, CompaniOn will establish partnerships with local senior centers, volunteer organizations, and community support services. This integration will help users stay engaged with their local communities, providing access to events, group activities, and assistance programs.

Additionally, location-based services will allow users to find nearby medical facilities, caregiving services, and emergency contacts, ensuring that support is always within reach.

Cap 4. Market Analysis

4.1. Competitive Analysis

Direct competitors are apps who directly compete in the fields of elderly care, companionship and health monitoring. Their services offer similar functionalities to CompaniOn. The most notable direct competitors are:

- **Replika:** This app uses an AI-powered chatbot that is designed to provide emotional support and companionship through personal conversation. It uses machine learning to improve conversation over time. It is free to use and available on mobile devices. Unlike Companion, Replika doesn't offer any services for elderly people. CompaniOn goes one step further with the integration of cognitive and health monitoring services which includes therapy reminders and emergency notifications. Also, our 3D avatar is more specialized for elderly users which makes CompaniOn a more comprehensive solution for an elderly care and chat bot app.
- **Papa Pal:** This app provides companionship and assistance to elderly individuals. It is not AI-powered and doesn't have a 3D avatar, but it connects elderly individuals with college students who assist with everyday tasks, so it's still a direct competitor with CompaniOn. Papa Pal focuses on improving quality of life for seniors by engaging them with younger people. Although it provides human interaction, CompanionOn's AI-powered avatar is always available, and offers constant companionship, cognitive support and health monitoring, while in Papa Pal you require scheduling and on-demand support is not provided.

Indirect competitors offer one or more similar features like in CompaniOn, but they don't provide the same integrated and comprehensive solution. They partially serve in elderly care or cognitive support market, but do not overlap fully as direct competitors. The most notable indirect competitors are:

- **CogniFit:** This app provides cognitive training which includes games and activities to improve focus, memory and other mental skills of elderly individuals with cognitive decline. It is a scientifically backed mental wellness approach. But CogniFit doesn't have emotional support, and companionship features and CogniFit has no integration with family members or health tracking notifications. It only addresses one part of CompaniOn's features but lacks the other critical features such as AI companionship, health monitoring, and emergency alerts. Therefore, it's an indirect competitor.
- **Lumosity:** This is a popular brain-training app offering games that target cognitive skills such as memory, problem-solving, and attention. It provides personalized training programs based on the user's performance. Lumosity offers cognitive training games, but like CogniFit, it doesn't include emotional

support, health tracking, or any family integration. It focuses solely on mental stimulation and cognitive development, making it an indirect competitor to CompaniOn in cognitive support, but it lacks the emotional and health-related features that set CompaniOn apart.

4.2. Analysis of the target audience

Taking into account the features of CompaniOn, we can come up with 2 major targets for our audience. Those are **elderly people and their family members**. Now we will do a thoroughly analysis of the target audience.

Demographic Characteristics for the target audience:

Elderly Users (65+ using the 3D AI model)

- Age: Primarily 65+, with a focus on individuals living alone or with limited social interaction. According to the United Nations, the global population aged 65 and older is projected to reach 16% by 2050, compared to 9.3% in 2020 (United Nations, 2022).
- Gender: Approximately 50% male, 50% female, though women tend to have a longer life expectancy.
- Education: Majority have primary or secondary education, with limited exposure to digital tools.
- Technological Literacy: Predominantly low to intermediate, requiring an intuitive, user-friendly interface.
- Health Conditions: Many experience mild to moderate cognitive or physical impairments, such as memory decline, depression, anxiety, or chronic illnesses (e.g., diabetes, arthritis).

Family Members (30-55 years, caregivers of elderly users)

- Age: Mostly between 30 and 55 years, typically children or grandchildren of elderly users.
- Gender: Slight female predominance, as caregiving roles are more often taken by women.
- Employment Status: Majority are employed professionals balancing work and family obligations.
- Technological Literacy: Intermediate to high, comfortable with mobile applications for remote monitoring.

Psychographic Characteristics

Elderly Users

- **Motivation:** Seek to reduce loneliness, maintain mental stimulation, and engage in meaningful interaction.
- **Fears:** Concerned about social isolation, loss of cognitive abilities, and physical decline.
- **Expectations:** Prefer simple, accessible technology that integrates seamlessly into their daily routines.

Family Members

- **Motivation:** Ensure the well-being and safety of elderly loved ones.
- **Needs:** Require real-time updates on physical and mental health status.
- **Fears:** Worry about emergency situations, inability to respond in time, and feelings of guilt over insufficient attention.

Behavioral Characteristics

Elderly Users

- **Engagement:** Enjoy interacting with AI but need simple, intuitive controls.
- **Consistency:** Likely to use the application regularly if it fosters an emotional connection and routine.
- **Feedback:** Value customizable features to fit their personal needs.

Family Members

- **Activity:** Actively monitor health data through the app.
- **Interaction:** Use features such as medication reminders and medical data analysis.
- **Expectations:** Require accurate, real-time information for informed caregiving decisions.

The insights from this target audience analysis provide a solid foundation for tailoring CompanyOn to the needs of both elderly users and their family.

By aligning the app's design, functionality, and user experience with the insights from this analysis, CompanyOn has the potential to significantly enhance the quality of life for seniors while making caregiving more efficient, connected, and reassuring for families. CompanyOn aim to ensure seamless usability, personalization, and reliability, creating a platform that fosters trust, engagement, and long-term adoption among both user groups.

With understanding the demographics, motivations, and behaviors, we can ensure that the app delivers practical value and emotional support to both its user groups.

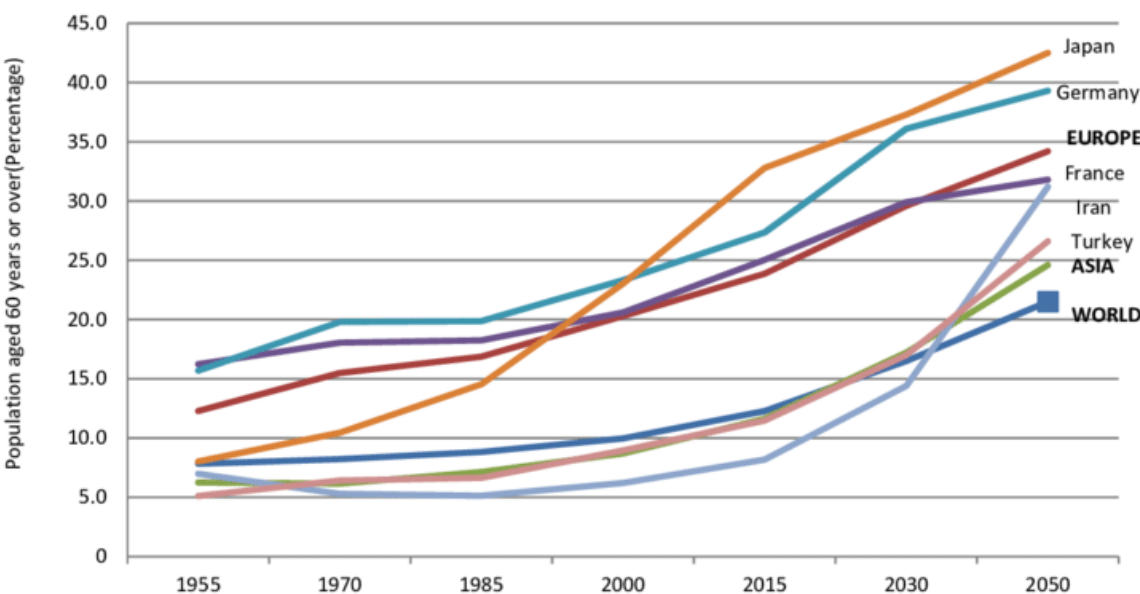
4.3. Market/Industry analysis

A. Market Growth

Market The market analysis for the CompaniOn platform highlights key factors contributing to the growth of AI-driven elderly care solutions. Below are the main market trends driving the demand for this technology.

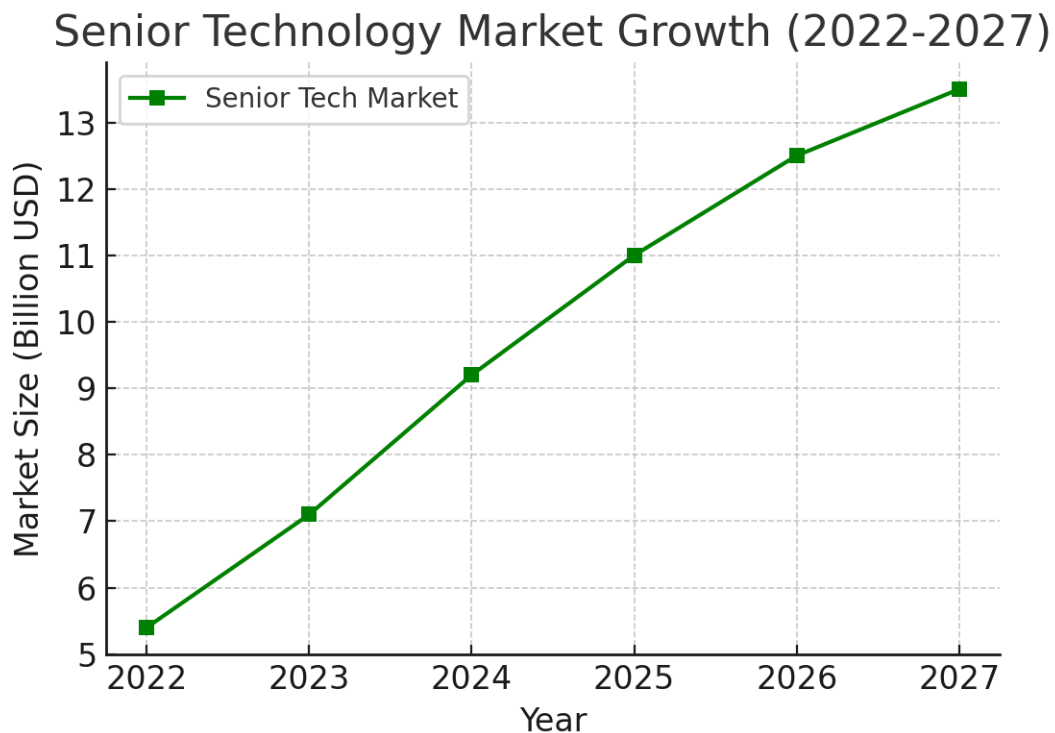
1. Growth of the Senior Care Market

The global elderly population is rapidly expanding. According to the United Nations, the number of individuals over 60 years old is expected to rise from 1 billion in 2020 to 2.1 billion by 2050. This demographic shift increases the demand for applications that support elderly individuals in communication, daily activities, and caregiving. CompaniOn's AI-integrated 3D model provides an innovative solution to address these needs.



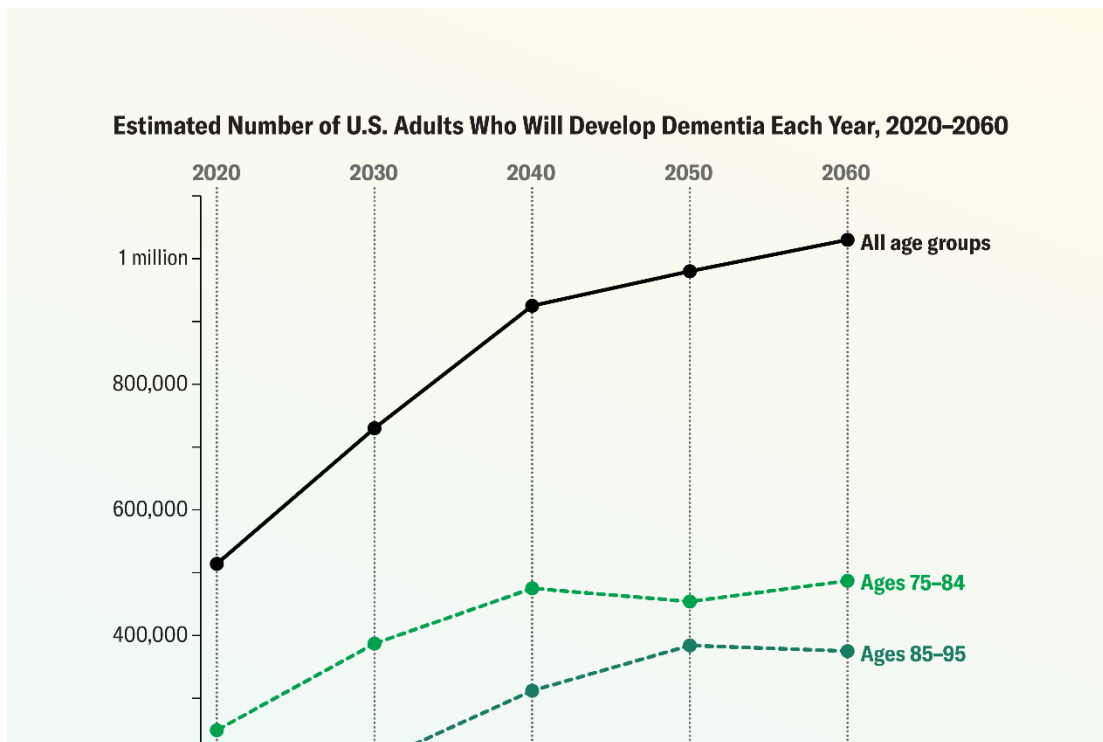
2. Technological Advancements in Elderly Care

The demand for mobile applications that integrate caregiving and companionship technology is growing. The global senior technology market is projected to reach \$13.5 billion by 2027. As seniors increasingly adopt digital solutions, applications like CompaniOn, which integrate smartphones, become essential for improving their quality of life.



3. Addressing Dementia and Mental Health Concerns

Dementia is a significant global health concern, affecting over 50 million people worldwide, with that number expected to increase to 82 million by 2030. The CompaniOn app offers emotional and cognitive support, which is crucial for older users with cognitive impairments. Unlike other 3D avatar-based applications that only provide basic conversational features, CompaniOn stands out as a comprehensive emotional and cognitive support system.



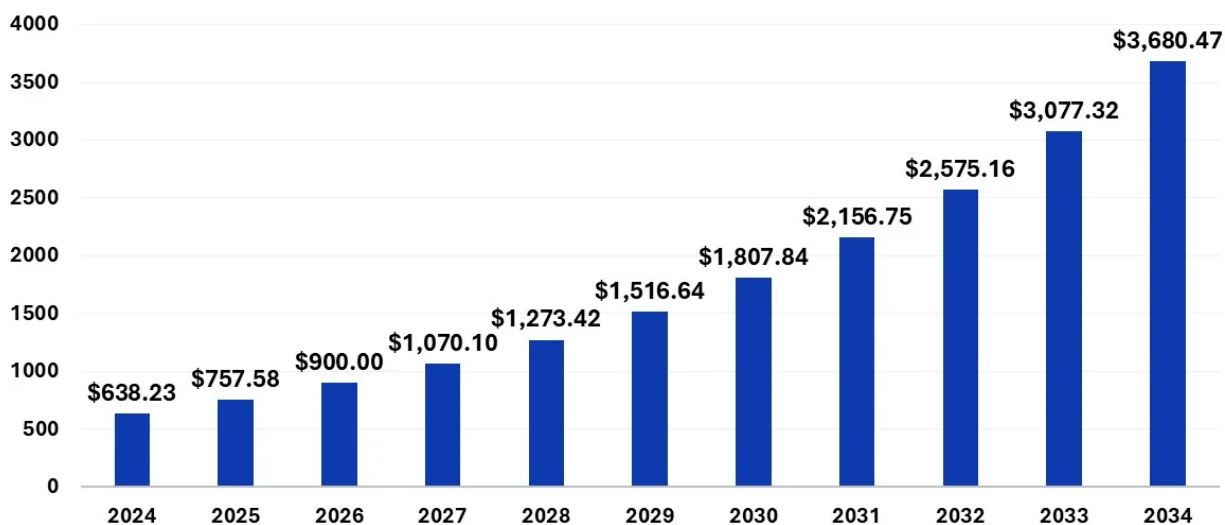
The market for AI-driven elderly care solutions is on an upward trajectory due to increasing elderly populations, technological advancements, and growing concerns over mental health and security. CompaniOn is well-positioned to leverage these trends and become a vital tool for senior care, offering innovative solutions that enhance both elderly independence and family peace of mind. larger.

B. Market Trends

The AI market is expanding rapidly, with its value projected to exceed \$1800 billion by 2030. Recent market trends show that AI powered applications are now as valuable as ever. AI-powered applications are evolving beyond basic automation, now offering advanced natural language processing, predictive analytics, and real-time decision-making. Virtual assistants powered by AI are no longer limited to simple queries; they now facilitate meaningful interactions, monitor health conditions, and offer tailored recommendations. This growth is fueled by the rising demand for AI in various sectors, including healthcare, mental wellness, and companionship, where technology is bridging the gap between human-like interaction and functional assistance, and that is exactly why companion is such a great fit.



Artificial Intelligence (AI) Market Size 2024 to 2034 (USD Billion)



Source: <https://www.precedenceresearch.com/artificial-intelligence-market>

Cap 5. Description of implementation/ Launch strategies

The marketing strategy for CompaniOn will focus on leveraging advertisements through health officers and nursing homes, as well as some online marketing through Facebook. We will concentrate efforts on reaching caregivers and health professionals who can reach families with older members who can benefit from the app's services.

In the first few weeks, we will work closely with health officers to spread awareness about the app's capabilities, particularly its ability to provide both emotional and cognitive support to elderly users.

This will be followed by a targeted Facebook advertising campaign to engage with a broader audience in hope of capturing the family members who have some elderly in its care. Facebook is chosen for the fact that most adults aged 35-55 use Facebook regularly, while a younger audience resides on Tik-Tok and Instagram. During the pre-launch phase, we will gather insights from health officers and potential users to fine-tune the app, ensuring it meets the needs of both elderly individuals and their families.

While online marketing through Facebook will remain a core element throughout the first year, we will also investigate forming partnerships with health organizations to further extend the app's reach. Direct sales efforts will be made through health officers and nursing homes, where we will offer in-depth presentations and subscription options for premium services, ensuring personalized engagement and an efficient path to success.

5.1. The objective from the financial point of view

The Companion application generates revenue through a subscription model for individual users and healthcare institutions, with additional income streams from premium services, integrations, and advertising.

User Subscriptions

The application offers three subscription tiers for standard users:

- **Free Plan:** Available to 90% of users with limited functionality, supported by ads. We will take into consideration that if an ad is seen by 1 user 1000 times it will generate an income of \$0.10.

- **Start Plan:** Costs \$9.99 per month and is expected to be chosen by 6% of users.
- **Pro Plan:** Costs \$19.99 per month and is expected to be chosen by 2% of users.

The application is expected to start with 50 users in the first month of Year I, increasing by 15 new users each month. By the end of Year I, the total number of users will reach 215. For the free user we will estimate that during a month an average user will see and add 300 times (10 times in a 30 day month). The ads will be based as banner ads and not pop ups.

Year I - Monthly Growth & Revenue Example:

- Month 1: 50 users (90% Free, 6% Start, 2% Pro)
 - Start: 3 users $\times$ \$9.99 = \$29.97
 - Pro: 1 user $\times$ \$19.99 = \$19.99
 - Ad Revenue: 46 users $\times$ 300 views = 13,800 views = \$1.38 in ad revenue
 - Total: \$29.97 + \$19.99 + \$1.38 = \$51.34
- Month 2: 65 users (same distribution)
 - Start Plan: 4 users $\times$ \$9.99 = \$39.96
 - Pro Plan: 1 user $\times$ \$19.99 = \$19.99
 - Ad Revenue: 60 users $\times$ 300 views = 18,000 views = \$1.80 in ad revenue
 - Total: \$39.96 + \$19.99 + \$1.80 = \$61.75
- Month 12: 215 users (same distribution)
 - Start: 13 users $\times$ \$9.99 = \$129.87
 - Pro: 4 users $\times$ \$19.99 = \$79.96
 - Ad Revenue: 198 users $\times$ 300 views = 59,400 views = \$5.94 in ad revenue
 - Total: \$129.87 + \$79.96 + \$5.94 = \$215.77

Year II & III Growth Projection:

- Year II: 250 new users per month
- Year III: 350 new users per month
- Revenue grows proportionally with the increasing user base.

Healthcare Institutions & Partner Subscriptions

The application offers two subscription tiers for healthcare institutions:

- **Standard Plan: \$499.99 per month** (all of the healthcare institutions users automatically get the Start Plan)

- **Enterprise Plan: \$999.99 per month**, expected to be chosen by 2% of institutions (all the healthcare institutions users automatically get the Pro Plan)

Year I - Monthly Growth & Revenue Example:

- Month 1: 5 institutions (98% Standard, 2% Enterprise)
 - Standard: 4 institutions $\times$ \$499.99 = \$1999.96
 - Enterprise: 0 institution $\times$ \$999.99 = \$0
 - Total: \$1,999.96
- Month 2: 7 institutions
 - Standard: 6 institutions $\times$ \$499.99 = \$2,999.94
 - Enterprise: 1 institution $\times$ \$999.99 = \$999.99
 - Total: \$3,999.93
- Month 12: 27 institutions
 - Standard: 26 institutions $\times$ \$499.99 = \$12,999.74
 - Enterprise: 2 institution $\times$ \$999.99 = \$1999.98
 - Total: \$14,999.72

Year II & III Growth Projection:

- Year II: Growth in partnerships expected with more health institutions subscribing.
- Year III: Further expansion following the same growth strategy.

Additional Revenue Streams

The additional revenue streams will include the possibility to personalize your AI assistants through in app purchases. This will generate anywhere near 50-100\$ for every 5th user.

Revenue Summary Over Three Years

Sales	YearI	Year II	Year III
User Subscriptions	~\$1,620	~\$8,181	~\$20,861
Healthcare Inst. Subscriptions	~\$44,000	~\$112,200	~\$286,110
Total Sales	\$45,620	\$120,381	\$306,971
Production costs	Year I	Year II	Year II
User Subscriptions	~\$25,000	~\$65,000	~\$100,000
Healthcare Inst. Subscriptions	\$0	\$0	\$0
Total Expenses	\$25,000	\$65,000	\$100,000

Objectives

The table of objectives is as follows:

Objective	Starting Date	Completion Date	Budget	Responsible	Department
60 Health Care Institutions who work with CompaniOn	01/04/25	01/04/26	\$5,000	Berun	Marketing
215 Users with their family members active on CompaniOn	01/04/25	01/04/26	\$1,500	Elma	Marketing
Branding the platform – associations with Elderly well being	01/04/25	01/04/26	\$3,000	Adil	Marketing
Total Expenses	-	-	\$9,500	-	-

5.2. Action plan

To accomplish the stated objectives effectively, there is a timeframe from April 1, 2025, to April 1, 2026 to implement the objectives. The implementation plan targets three things: getting 60 healthcare organizations onboard, activating 215 users and their relatives, and strengthening the branding of CompaniOn as a platform associated with elderly wellness.

For the first objective, securing partnerships with 60 healthcare institutions, a direct outreach and engagement strategy will be employed. This involves identifying potential healthcare institutions, scheduling meetings, and presenting the benefits of integrating CompaniOn into their services. "Integration of CompaniOn into their service" means that all the seniors who are in a health institution, say, a retirement community or a nursing home, will have access to the Start or the Pro version (whichever packet the health institution chooses) of CompaniOn and their families as well. As per the yearly goal, at least five institutions must be onboarded per month. The \$5,000 budget will go towards marketing materials, promotional events, and any incentives necessary to enable participation.

The second objective is to have 215 users, as well as their family members, actively utilizing the site. This will be achieved through a mix of direct contact, referrals, and focused advertising (which will be attained through Facebook ads). Since the goal translates to roughly 18 users per month, marketing efforts will be aimed at creating awareness, advertising the value of CompaniOn, and offering incentives to initial users. For this purpose, the \$1,500 budget will cover advertising, referral incentives, and community building initiatives.

Parallel to user acquisition and collaboration with institutions, it is essential to position the platform as a valid and recognized service for elderly well-being. The goal is to position CompaniOn as a preferred option for families and healthcare organizations seeking holistic care for the elderly. This will be done through content marketing, partnerships with healthcare influencers, and frequent appearances in online and offline media. \$3,000 has been allocated for this branding effort. This will finance professional branding assets, online marketing, and alliances with concerned organizations. The total budget for these projects stands at \$9,500, and its efficient utilization will be strictly monitored to derive maximum returns. Monthly evaluations will be conducted to gauge progress against the set goals, making necessary changes wherever required.

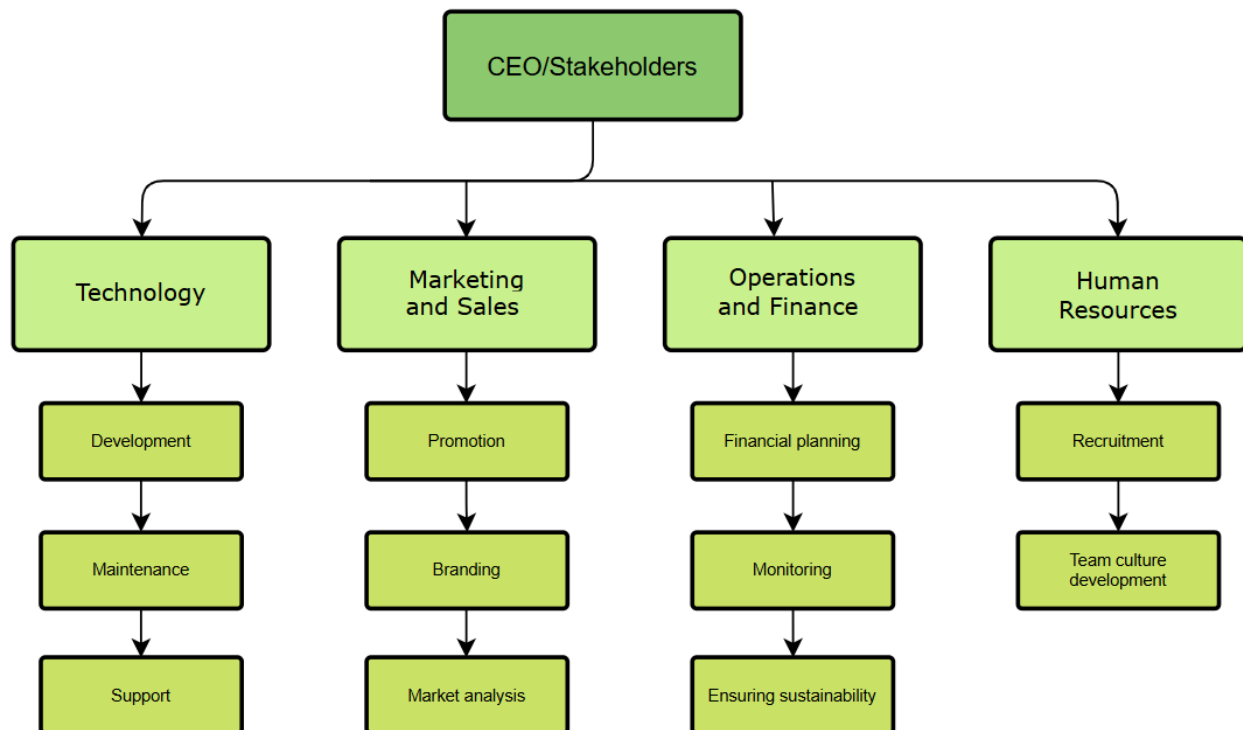
With this action plan implemented, CompaniOn would experience steady growth and thereby too attain its desired revenue streams.

Cap 6. Company structure

6.1. Company structure

Our company will be organized into key departments that will be responsible for specific activities needed for the growth and development of the company. Each team will have defined tasks and will contribute to the strategic goal of the startup within its field. The main departments include:

- Technology – Responsible for development, implementation and maintenance of technological solutions.
- Marketing and Sales – Focused on brand promotion, market analysis and revenue growth.
- Operations and Finance - Responsible for financial planning and ensuring business sustainability.
- Human Resources - Focused on talent recruitment and ensuring an efficient business environment.



Cap 7. Financial Plan

7.1. Profit & Loss projection (P&L)

The calculations in the "Revenue and expenditure projection" table were performed according to the following criteria:

Year I

Total cost of production (COGS):

- **Software and infrastructure development:** \$10,000 - The Software and Infrastructure Development cost of \$10,000 covers the entire process of designing, developing, and deploying the software application. This includes hiring skilled developers, designers, and testers who work on coding, debugging, and optimizing the system. Additionally, this budget accounts for purchasing necessary software licenses, development tools, and frameworks that enhance the functionality and security of the application. Infrastructure setup is also a significant component, encompassing expenses related to servers, databases, and networking components. Security measures, compliance testing, and any necessary integrations with third-party services further contribute to this cost.
- **Cloud services and maintenance:** \$8,000 - The Cloud Services and Maintenance cost of \$8,000 ensures that the software runs smoothly on a scalable and secure cloud infrastructure. This includes expenses for cloud hosting services, which provide the computing power, storage, and bandwidth required to keep CompaniOn operational. Ongoing maintenance, including server uptime monitoring, system performance optimization, and security patches, is an integral part of this expense. Additionally, costs for data backup solutions, disaster recovery mechanisms, and scaling the infrastructure to accommodate growing user demand are included in this budget.
- **Customer support and administration:** \$7,000 - The Customer Support and Administration cost of \$7,000 covers the resources needed to provide a seamless user experience and ensure operational efficiency. This includes salaries for customer support representatives and administrative staff who handle user inquiries, technical issues, and general management tasks. It also accounts for the implementation and maintenance of CRM (Customer Relationship Management) systems and ticketing platforms that streamline customer interactions. Training support teams, managing communication channels, and ensuring customer satisfaction contribute to this expense. Furthermore, general administrative costs such as office expenses, payroll management software, and legal compliance measures fall under this category.
- **Total COGS: \$25,000**

Operating expenses (OPEX):

- **Marketing and branding:** \$9,500 - The Marketing and Branding cost of \$9,500 covers all activities aimed at promoting the business and establishing a strong brand presence. This includes expenses for digital marketing campaigns such as social media advertising (on Facebook as discussed earlier), search engine optimization (SEO), and pay-per-click (PPC) ads to drive traffic and generate leads. It also accounts for content creation, including blog posts, videos, and graphic design, which help enhance brand visibility and engagement. Additionally, this budget covers traditional marketing efforts like print materials, event sponsorships, and networking opportunities. Branding-related expenses, such as logo design, brand messaging, and website development, are also part of this.
- **Operating expenses (salaries, legal and accounting services):** \$7,000 - The Operating Expenses, which amount to \$7,000, include essential costs necessary for running the business smoothly. A significant portion of this budget is allocated personnel involved in day-to-day operations. Legal and accounting services are also covered under this expense, ensuring compliance with regulations, proper financial management, and handling of contracts or business filings. Taking into account that we won't be needing an office, office costs are not included in here.
- **Other and unforeseen costs:** \$3,000 - The Other and Unforeseen Costs category, set at \$3,000, acts as a financial buffer for unexpected expenses that may arise. This could include emergency repairs, sudden increases in service costs, or unexpected fees related to business operations. It also accounts for miscellaneous expenses such as additional software tools, last-minute marketing opportunities, or unforeseen regulatory requirements. Having this budget in place helps the business remain flexible and prepared for any unplanned challenges without disrupting its financial stability.
- **Total OPEX: \$19,500**

Total income in Year I: \$45,620

Total expenditures (COGS + OPEX) in Year I: \$44,500

EBITDA in Year I: \$1,120

Net profit in Year I: \$1,000

Year II and Year III are based on the same criteria's but under the assumption that the user base will steadily grow as predicted by the parameters and marketing trends discussed in the previous chapters.

An overview of Year II and Year III can be seen below:

Year II

Total production costs (COGS):

- Software and infrastructure development: \$30,000
- Cloud services and maintenance: \$23,000
- Customer support and administration: \$12,000
- Total COGS: \$65,000

Operating expenses (OPEX):

- Marketing and branding: \$10,000
- Operating expenses (salaries, legal and accounting services): \$30,000
- Other and unforeseen costs: \$5,000
- Total OPEX: \$45,000

Total revenue in Year II: \$45,000

Total expenditures (COGS + OPEX) in Year II: \$110,000

EBITDA in Year II: \$10,381

Net profit in Year II: \$10,000

Year III

Total cost of production (COGS):

- Software and infrastructure development: \$15,000
- Cloud services and maintenance: \$70,000
- Customer support and administration: \$15,000
- Total COGS: \$100,000

Operating expenses (OPEX):

- Marketing and branding: \$15,000
- Operating expenses (salaries, legal and accounting services): \$50,000
- Other and unforeseen costs: \$10,000
- Total OPEX: \$75,000

Total revenue in Year III: \$306,971

Total expenditures (COGS + OPEX) in Year III: \$175,000

EBITDA in Year III: \$125,971

Net profit in Year III: \$120,971

Table: Income and expenditure projection

	<u>Year I</u>	<u>Year II</u>	<u>Year III</u>
Fiscal value	\$45,620	\$120,381	\$306,971
User Subscriptions	\$1,620	\$8,181	\$20,861
Healthcare Inst. Subscriptions	\$44,000	\$112,200	\$286,110
Total COGS	\$25,000	\$65,000	\$100,000
Software and infrastructure development	\$10,000	\$30,000	\$15,000
Cloud services and maintenance	\$8,000	\$23,000	\$70,000
Customer support and administration	\$7,000	\$12,000	\$15,000
Gross margin	\$20,620	\$55,381	\$206,971
Gross margin %	45.2%	46%	67.5%
<u>OPEX</u>			
Marketing and branding	\$9,500	\$10,000	\$15,000
Operating expenses (salaries, legal and accounting services)	\$7,000	\$30,000	\$50,000
Other and unforeseen costs	\$3,000	\$5,000	\$10,000
Total expenses	\$19,500	\$45,000	\$75,000
EBITDA	\$1,120	\$10,381	\$125,971
EBITDA %	5.74%	8.7%	41.1%
Income / profit tax	\$120	\$381	\$5000
Interest expenses	0	0	0
Depreciation	0	0	0
Impairment	0	0	0
Net profit	\$1,000	\$10,000	\$120,971
Net profit %	2.2%	8.3%	40%
CAPEX	\$1,000	\$10,000	\$120,971

7.2. StartUP budget

To successfully launch and operate CompaniOn in its first year, an initial investment of \$49,500 is required. This amount covers development, marketing, and operational expenses necessary to reach our target of 60 partnered healthcare institutions and 215 active users.

The budget ensures sufficient working capital for the first year, allowing us to scale efficiently while minimizing financial risks. By leveraging third-party cloud solutions for video communication and data management, we optimize costs and enhance service reliability. The projected revenue in Year 1 allows us to reinvest in product development and user acquisition for sustained growth.

Overall, our financial strategy prioritizes sustainable growth, high-margin revenue models, and cost-efficient operations to ensure long-term success.

By the end of year 3 the start-up investment budget can be fully paid back.

Table: Start-up

Needs	\$49,500
Expenses / first year	
Software Development & Infrastructure	\$10,000
Marketing & Branding	\$9,500
Operational Costs (Salaries, Legal, Accounting)	\$10,000
Cloud Services & Maintenance	\$8,000
Customer Support & Administration	\$7,000
Miscellaneous & Contingency Fund	\$5,000
Total Start-up Expenses	\$49,500
Total needs	\$49,500